

Insurance - Certification

Source: <https://www.prarulebook.co.uk/prarules/insurance---certification/03-03-2026>

Effective Date: 03-03-2026

Type: PRA Rule

Scraped: 2026-03-02 20:50

1

Application and Definition

1.1

Unless otherwise stated, this Part applies to:

1. (1) a UK Solvency II firm ;
2. (2) in accordance with Insurance General Application 3, the Society , as modified by 5;
3. (3) in accordance with Insurance General Application 3, a managing agent , as modified by 5;
4. (4) a third country branch undertaking (other than a Swiss general insurer) in relation to the activities of the third country branch that are subject to the regulatory system ;
5. (4A) a third country insurance services provider in relation to the activities carried out in the UK that are subject to the regulatory system ; and
6. (5) a UK ISPV , in accordance with 6.

1.1A

This Part does not apply to a SRO firm.

1.2

This Part does not apply to a small run-off firm.

1.3

In this Part, the following definition shall apply:

employee

in relation to a firm , includes any person within the description set out in section 63E(9) of FSMA.

1.3A

For the purposes of this Part, large firm includes a third country insurance services provider which would be a large firm if the amounts specified in (a) and (b) of the Glossary definition are only those amounts relating to the activities carried out in the UK by the third country insurance services provider.

1.4

This Part does not apply to a function performed by:

1. (1) a PRA approved person ;
2. (1A) a person in relation to whom a notice under section 59ZZA has been given to an authorised person ;

3. (2) a _person_ who performs an _FCA controlled function_ ; or
4. (3) a _non-executive director_ in relation to their _non-executive director_ function.

2

Certification Functions

2.1

For the purposes of this Part, the following are _certification functions_ :

1. (1) a function performed for a _firm_ by a _key function holder_ at the _firm_ ;
2. (2) a function performed by a _material risk taker_ at a _large firm_.

2.2

A function is only a _certification function_ to the extent that the function relates to a _regulated activity_ carried on by a _firm_.

3

Performance of Certification Functions

3.1

A _firm_ must take reasonable care to ensure that none of its _employees_ performs a _certification function_ under an arrangement entered into by the _firm_ in relation to the carrying on by the _firm_ of a _regulated activity_ , unless the _employee_ has a valid _certificate_ issued by the _firm_.

3.2

A _person_ does not perform a _certification function_ for a _firm_ under 2.1 if the _person_ is performing any _controlled function_ for that _firm_.

3.3

To the extent that:

1. (1) a firm appoints a _person_ to perform a function which, but for this rule, would be a _certification function_ ;
2. (2) the appointment is solely to provide cover for a _certification employee_ whose absence is reasonably unforeseen; and
3. (3) the appointment is for less than four weeks;

such a _person_ does not perform a _certification function_.

4

Material Risk Takers

4.1

This Chapter applies to a _firm_ that falls within 1.1 and is a _large firm_.

4.2

A _firm_ must identify, in respect of the _firm_ , its _employees_ who are _material risk takers_.

4.3

A _firm_ must keep its identification of _material risk takers_ pursuant to 4.2 up-to-date.

4.4

A _firm_ must keep a record of its reasoning for the identification of _material risk takers_ pursuant to 4.2.

5

Lloyd's

5.1

This Part applies to the _Society_ and _managing agents_ separately.

6

UK ISPVs

6.1

2.1(2) does not apply to a _UK ISPV_.

6.2

4 does not apply to a _UK ISPV_.